

Top Down Analysis

for BlackRock

Industry: Asset Management

Macro and Industry

Macro Trend 1- Interest Rates

- Higher rates increase bond yields (positive for fixed income flows)
- But higher rates can reduce equity valuations (AUM volatility risk)

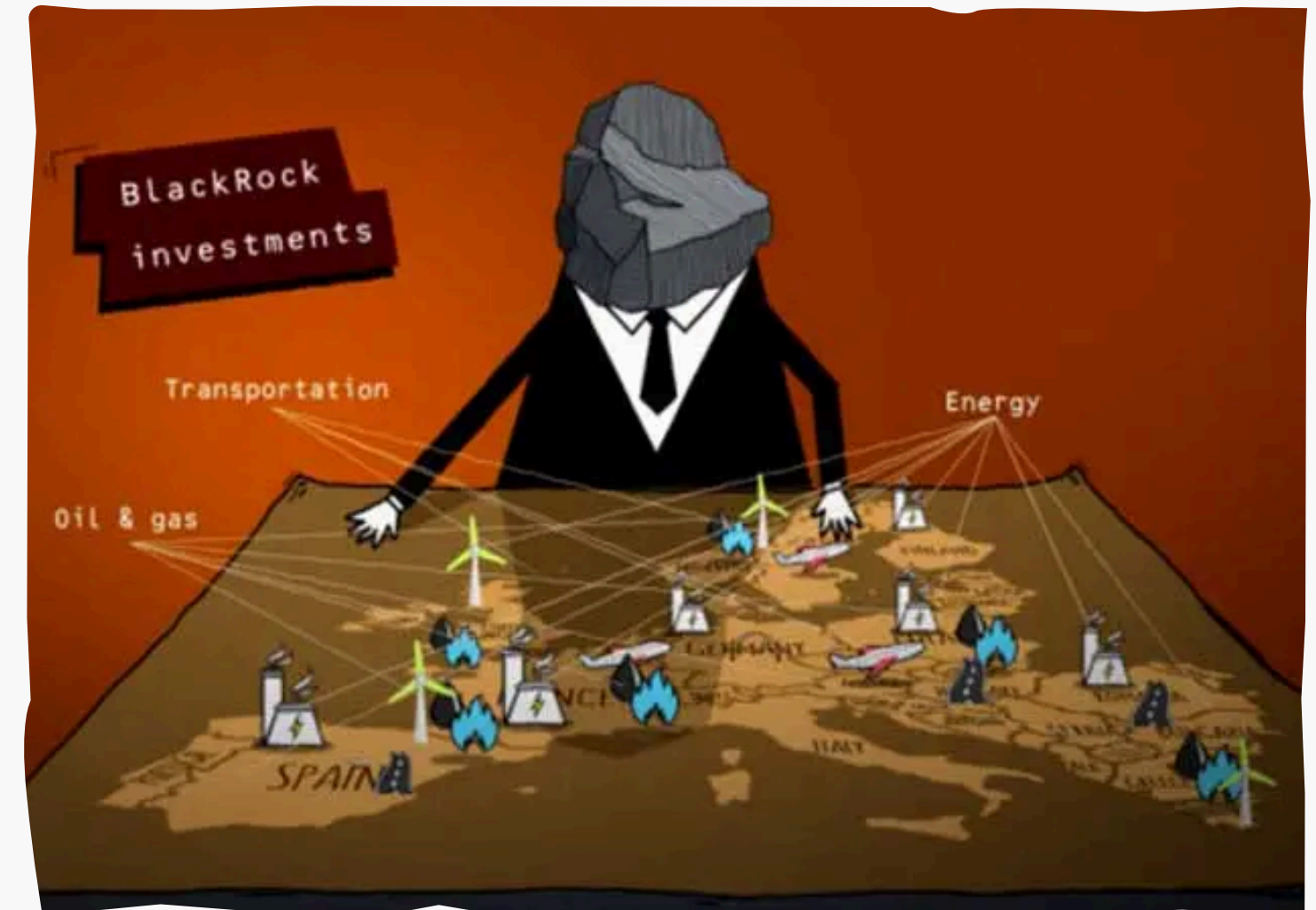
Macro Trend 2- GDP Growth

- Strong GDP = higher market returns = rising AUM = higher fee revenue
- Recession = lower asset prices + possible outflows

Macro Trend 3- Inflation

- Moderate inflation = supports nominal asset growth
- High inflation = market volatility → short-term fee pressure

Q Who is BlackRock?



Company Position and Moat

Company Analysis

Macro Context

- Fed **3.50–3.75%**, dovish bias
- Fixed income attractive at yields
- No recession risk near-term

Moats & Position

- \$14T AUM, **\$698B** net inflows
- iShares \$5T (6x competitor)
- Aladdin: 1,000+ client lock-in
- \$675B alternatives post-M&A

Q Postitoning



Thesis and Predictions

Thesis:

Infrastructure play on private markets financialization, not a volatility trade. Flow dominance (\$342B Q4 inflows) + tech moat (Aladdin) = durable, not dynamic.

Simulation Rating:

HOLD: wrong asset for short-term trading

12mo Target:

\$1,260–\$1,320 (15–20% upside) | Consensus EPS \$53.64 (+11.5%)

Q Predictions for BlackRock



Thank You

Works Cited

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